

STATE OF OKLAHOMA

2nd Session of the 60th Legislature (2026)

2ND CONFERENCE COMMITTEE

SUBSTITUTE

FOR ENGROSSED

HOUSE BILL NO. 1851

By: Schreiber, Deck, Stewart,
and Manger of the House

and

Gollihare of the Senate

2ND CONFERENCE COMMITTEE SUBSTITUTE

An Act relating to contracts; creating the Oklahoma Fair Renewal Act; providing definitions; requiring automatic renewal contracts to present offer terms in clear and conspicuous manner; prohibiting utilization of online link unless it complies with listed conditions; requiring written acknowledgement; requiring a readily accessible mechanism for canceling an automatic renewal contract; requiring notice of material changes to terms of an automatic renewal contract; requiring persons who sells a good or service to a consumer pursuant to an automatic renewal contract to provide notice of contract renewal; providing exceptions for certain entities; clarifying violation of act constitutes unlawful business practice; providing for codification; and providing an effective date.

BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

SECTION 1. NEW LAW A new section of law to be codified in the Oklahoma Statutes as Section 773 of Title 15, unless there is created a duplication in numbering, reads as follows:

1 This act shall be known and may be cited as the "Oklahoma Fair
2 Renewal Act".

3 SECTION 2. NEW LAW A new section of law to be codified
4 in the Oklahoma Statutes as Section 773.1 of Title 15, unless there
5 is created a duplication in numbering, reads as follows:

6 As used in this act, the following terms shall mean:

7 A. "Automatic renewal contract" means a plan or arrangement in
8 which a paid subscription or purchasing agreement is automatically
9 renewed at the end of a definite term for a subsequent term or on a
10 continuous or recurring basis.

11 B. "Automatic renewal offer terms" means the following clear
12 and conspicuous disclosures:

13 1. That an automatic renewal contract will automatically renew
14 or extend after the initial period for a set term not to exceed one
15 (1) year unless the consumer gives express written consent for a
16 longer renewal term;

17 2. A description of the cancellation policy that applies to the
18 offer;

19 3. Any recurring charges that will be charged to the consumer's
20 credit card, debit card, or payment account with a third party as
21 part of an automatic renewal contract;

22 4. The length of an automatic renewal term; and

23 5. The minimum purchase obligation, if any.
24

1 C. 1. "Clear and conspicuous" or "clearly and conspicuously"
2 means in larger type than the surrounding text; in contrasting type,
3 font, or color to the surrounding text of the same size; or set off
4 from the surrounding text of the same size by symbols or other marks
5 in a manner that clearly calls attention to the language; or

6 2. In the case of an audio disclosure, "clear and conspicuous"
7 or "clearly and conspicuously" means in a volume and cadence
8 sufficient to be readily audible and understandable.

9 D. "Consumer" means an individual who seeks or acquires, by
10 purchase or lease, any goods, services, money, or credit for
11 personal, family, or household purposes.

12 E. "Trial period offer" means a solicitation offering a
13 consumer a period of time in which to sample a product or service,
14 which offer is used as an inducement for the consumer to make a
15 purchase of the product or service or a similar product or service.

16 SECTION 3. NEW LAW A new section of law to be codified
17 in the Oklahoma Statutes as Section 773.2 of Title 15, unless there
18 is created a duplication in numbering, reads as follows:

19 A. It is unlawful for a person who offers an automatic renewal
20 contract to a consumer in this state to:

21 1. Fail to present the automatic renewal offer terms in a clear
22 and conspicuous manner before the automatic renewal contract is
23 executed. In the case of an offer that is conveyed by voice, the
24 person must present the terms in temporal proximity to the request

1 for the consumer's consent to the offer. If the offer includes a
2 trial period offer, the offer must also include a clear and
3 conspicuous explanation of the price that will be charged and any
4 further purchase obligations that will be imposed on the consumer
5 after the trial period ends;

6 2. Utilize an online link as part of an offer of an automatic
7 renewal contract, which online link directs a consumer to the
8 information about the automatic renewal contract required by this
9 subsection, unless the online link:

- 10 a. is available before a consumer elects to purchase any
11 good or service subject to the automatic renewal
12 contract,
- 13 b. appears in close proximity to any online link used by
14 the consumer to purchase any good or service or enroll
15 in the automatic renewal contract, and
- 16 c. is labeled with, or is directly adjacent to, a clear
17 and conspicuous disclosure that states that by
18 purchasing the good or service, the consumer agrees to
19 enroll in an automatic renewal contract;

20 3. Fail to provide the consumer a written acknowledgment that
21 includes the automatic renewal offer terms, the cancellation policy,
22 and information regarding how to cancel in a manner that is capable
23 of being retained by the consumer. If the offer of an automatic
24 renewal contract includes a trial period offer, the person shall

1 also disclose in the written acknowledgment how to cancel the free
2 trial before the consumer is required to pay for the goods or
3 services;

4 4. Fail to provide a simple, cost-effective, timely, easy-to-
5 use, and readily accessible mechanism for canceling an automatic
6 renewal contract or trial period offer. A person is deemed to
7 comply with this paragraph if the person offers:

8 a. a direct online cancellation link to initiate the
9 cancellation process that is:

10 (1) located on the person's website, within the
11 consumer's account or profile, or contained in an
12 electronic device or service or an electronic
13 communication to the consumer, and

14 (2) available to the consumer after the consumer
15 completes a reasonable authentication protocol
16 used solely to confirm that the consumer is
17 authorized to make changes to the account, or

18 b. an in-person mechanism for canceling an automatic
19 renewal contract or trial period offer, which
20 mechanism:

21 (1) is at a physical location where the consumer
22 regularly utilizes any goods or services that are
23 subject to the automatic renewal contract, and

24 (2) satisfies the requirements of this paragraph.

1 SECTION 4. NEW LAW A new section of law to be codified
2 in the Oklahoma Statutes as Section 773.3 of Title 15, unless there
3 is created a duplication in numbering, reads as follows:

4 If a material change occurs in the terms of an automatic renewal
5 contract that has been accepted by a consumer in this state, the
6 person shall provide to the consumer, a clear and conspicuous notice
7 of the material change and information regarding cancellation of the
8 automatic renewal contract, including information concerning the
9 mechanism described in paragraph 4 of Section 3 of this act.

10 SECTION 5. NEW LAW A new section of law to be codified
11 in the Oklahoma Statutes as Section 773.4 of Title 15, unless there
12 is created a duplication in numbering, reads as follows:

13 A. A person that sells a good or service to a consumer pursuant
14 to an automatic renewal contract of one year or more in duration
15 shall notify the consumer that the automatic renewal contract will
16 automatically renew or continue unless the consumer cancels the
17 automatic renewal contract. The notice must inform the consumer of
18 the process for canceling the automatic renewal contract, and the
19 process must provide clear and accurate information about the
20 identity of the sender and be consistent with paragraph 4 of Section
21 3 of this act. The person shall provide the notice by:

- 22 1. Physical mail;
- 23 2. Electronic mail; or

1 3. Another easily accessible form of communication, such as a
2 text message or a mobile phone application, if the consumer
3 specifically authorizes the person to provide notice in such form or
4 if the consumer customarily uses such form to communicate with the
5 person.

6 B. A person that sells a good or service to a consumer pursuant
7 to an automatic renewal contract shall send the notice described in
8 subsection A of this section at least fifteen (15) and no more than
9 forty-five (45) days prior to the renewal.

10 SECTION 6. NEW LAW A new section of law to be codified
11 in the Oklahoma Statutes as Section 773.5 of Title 15, unless there
12 is created a duplication in numbering, reads as follows:

13 A. Notwithstanding any provision of this act to the contrary,
14 this act does not apply to:

15 1. A service provided by a person pursuant to a franchise
16 issued by a political subdivision of the state or a license,
17 franchise, certificate, or other authorization issued by the
18 Oklahoma Corporation Commission;

19 2. A service provided by a person or an affiliate or subsidiary
20 thereof that is regulated by the Federal Communications Commission,
21 the Federal Energy Regulatory Commission, or the Oklahoma
22 Corporation Commission;

23 3. Any person or entity regulated by the Oklahoma Insurance
24 Department, or an affiliate of that person or entity;

1 4. A bank or bank holding company that is licensed under state
2 or federal law, or a subsidiary or affiliate of such a bank or bank
3 holding company;

4 5. A credit union or other financial institution that is
5 licensed under state or federal law;

6 6. An air carrier as defined in and regulated under the Federal
7 Aviation Act of 1958, 49 U.S.C., Section 40101 et seq., as amended,
8 including the federal Airline Deregulation Act of 1978, 49 U.S.C.,
9 Section 41713, as amended;

10 7. Any newspaper qualified and authorized by Section 106 of
11 Title 25 of the Oklahoma Statutes to publish legal or public notices
12 under the laws of the State of Oklahoma; or

13 8. An entity regulated by the Oklahoma Department of Labor
14 under the Alarm, Locksmith, and Fire Sprinkler Industry Act.

15 SECTION 7. NEW LAW A new section of law to be codified
16 in the Oklahoma Statutes as Section 773.6 of Title 15, unless there
17 is created a duplication in numbering, reads as follows:

18 Any violation of this act shall constitute an unlawful business
19 practice and shall be subject to the provisions of the Oklahoma
20 Consumer Protection Act other than Section 761.1 of Title 15 of the
21 Oklahoma Statutes. Any violation of this act shall be enforceable
22 exclusively by the Attorney General and the district attorneys of
23 this state.
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SECTION 8. This act shall become effective April 1, 2027.

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